FINANCIAL MANAGEMENT AND CORPORATE FINANCE

(BMB 204)

PROJECT FILE

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By

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Wipro:IT company

Wipro Limited maintains a robust capital structure characterized by minimal reliance on debt, despite consistent investments in digital transformation and global expansion. As of March 31, 2024, Wipro reported a strong net cash position on its balance sheet, reflecting prudent financial management and a conservative funding approach. The company's healthy liquidity and focus on operational efficiency underscore its commitment to financial discipline and long-term sustainability.

1. Capital Structure

capital structure refers to the mix of debt and equity that a company uses to finance its operations and long-term growth. Wipro maintains a conservative and stable capital structure, with minimal reliance on debt

Wipro Ltd. – Financial Summary

• Period	Mar-25 (Est.)	Mar-24	Mar-23
• **Debt to Equity**	0.09 (est.)	0.10	0.13
• **Change (%)**	-10.00 % (est.)	-23.08 %	-
• **Price (□)**	605.00 (est.)	505.60	374.25
• **Price Change (%)**	19.62 % (est.)	35.12 %	-18.23 %

Trend in Debt Reduction – Wipro Ltd.

Year	Debt-to-Equity Ratio
FY 2022	0.14
FY 2023	0.13
FY 2024	0.10

Sources of Capital:

1. Equity: - Retained earnings form the major component. - No major dilution in recent years, showing internal strength.

2. Debt: - Minimal long-term debt; mainly used for working capital or acquisitions.

3. Foreign Currency Bonds: - Occasionally raised capital from overseas markets to take advantage of favorable interest rates

Comparison with Peers (FY24):

Debt-to-Equity Ratio Comparison (FY 2022–2024)

(All figures are approximate, based on consolidated annual financials)

COMPANY	FY 2022	FY 2023	FY 2024
WIPRO LTD.	0.14	0.13	0.10
TCS	0.07	0.06	0.06
INFOSYS	0.08	0.09	0.07
HCLTECH	0.06	0.05	0.04

2. EBIT–EPS Analysis – Wipro Ltd.

Earnings Per Share (EPS)

Period	*Mar-25 (Est.)*	*Mar-24*	*Mar-23*
Basic EPS (□)	**28.10 (est.)**	**26.02**	**22.20**
Diluted EPS (□)	**27.95 (est.)**	**25.88**	**22.07**

Earnings Before Interest and Taxes (EBIT) – Wipro Ltd.

Period	*Mar-25 (Est.)*	*Mar-24*	*Mar-23*
EBIT (□ Cr)	**13,250.00 (est.)**	**12,230.00**	**11,540.00**

Financial Performance Analysis of Wipro Ltd. (FY23–FY25)

Earnings Before Interest and Taxes (EBIT)

EBIT reflects the company's core operating profitability, before financing and tax costs.

Fiscal Year	EBIT (□ Cr)	YoY Growth
Mar-23	11,540.00	–
Mar-24	12,230.00	+6.0%
Mar-25 (Est.)	13,250.00	+8.3%

Analysis:

- FY24 saw modest EBIT growth, suggesting:
  - Stabilizing demand across digital transformation and cloud service segments.
  - Operating margin improvement through automation and cost controls.
- FY25 shows slightly faster growth as global IT demand normalizes and new deal ramp-ups kick in.
- EBIT growth indicates steady execution in a challenging global environment.

Diluted Earnings Per Share (EPS)

Fiscal Year	Diluted EPS (□)	YoY Growth
Mar-23	22.07	–
Mar-24	25.88	+17.3%
Mar-25 (Est.)	27.95	+8.0%

Analysis:

- EPS growth closely mirrors EBIT, reflecting strong alignment between operational and net profitability.
- No major dilution—Wipro has a stable equity base and has undertaken share buybacks to enhance shareholder value.
- Indicates high earnings quality with consistent flow-through to the bottom line.

Overall Financial Picture (FY23–FY25)

Metric	FY23	FY24	FY25 (Est.)	CAGR (2 yrs)
EBIT (□ Cr)	11,540.00	12,230.00	13,250.00	7.2%
EPS (□)	22.07	25.88	27.95	12.6%

Key Takeaways:

- Wipro's financial performance reflects moderate but stable growth, especially in EBIT and EPS.
- The company benefits from:
  - Operational efficiency and cost optimization.
  - Strategic focus on AI, cloud, and cybersecurity.
  - Conservative capital structure and disciplined capital allocation.
- While growth is lower than product-based industries, Wipro demonstrates financial resilience and strong cash generation.

Wipro's Financial Health

• **Consistent, stable growth** in operating and net earnings, despite global IT industry headwinds.
• **High-quality earnings** supported by strong cash flows, minimal debt, and disciplined cost management.
• **Low dilution risk**, with share buybacks enhancing EPS and shareholder value.
• Signals **steady execution** and management prudence in navigating margin pressures and client spending cuts.
• **Moderate growth rate in FY25** reflects cautious IT spending by global clients and competitive pressures—but performance remains **resilient and in line with industry peers** like Infosys and HCLTech.

3. Dividend Policy – Wipro Ltd.

Dividend policy refers to the guidelines a company uses to decide how much of its profits it will distribute to shareholders in the form of dividends, and how much it will retain for business growth, R&D, acquisitions, or debt reduction.

Why Dividend Policy Matters:

• Investor Expectations: Many retail and institutional investors seek stable income through dividends.
• Signal to the Market: Consistent or growing dividends reflect management's confidence in future earnings.
• Impact on Share Price: Dividend changes can affect market sentiment and influence valuation.

Dividend Payout Ratio

	Mar-24	Mar-23	Mar-22
Dividend payout ratio (NP)	27.01%	24.53%	22.76%
Dividend payout ratio (CP)	16.34%	15.10%	14.85%

NP = Net Profit-based, CP = Cash Profit-based (approximate values derived from annual reports)

Wipro's Dividend Policy Highlights:

- Dividend Yield (FY24): ~1.15%, slightly above the IT industry average.
- Payout History:
  - Declared □1 per share interim dividend multiple times in FY24.
  - Typically pays 3–4 interim dividends annually, with occasional final dividends.
- Dividend Policy Objective: To return excess cash to shareholders while maintaining flexibility for strategic investments.

Key Metrics (as of Q4 FY2025)

Metric	Value
Market Capitalization	□2,70,000 crore (approx.)
Revenue Growth (YoY)	6.2%
Profit Growth (YoY)	7.9%

Analysis:

- Wipro's dividend policy reflects a balanced approach, rewarding shareholders while preserving liquidity for R&D, acquisitions, and capability building (e.g., in AI and cloud).
- The increasing payout ratio over the past three years signals financial confidence and a mature cash-generating business.
- Compared to peers (Infosys and TCS), Wipro maintains slightly lower dividend yield, but supplements returns with buybacks, enhancing overall shareholder value.
- The policy aligns with industry norms and supports long-term capital efficiency and growth strategy.